5.6 The Policy Factors that Helped the Industrialisation Process in Tamil Nadu

Policy factors can be divided into three aspects:

Education

Industries require skilled human resources. Apart from a lot of attention to primary education to promote literacy and basic arithmetic skills, the state is known for its vast supply of technical human resources. It is home to one of the largest number of engineering colleges, polytechnics and Industrial Training Centres in the country.

Infrastructure

The widespread diffusion of electrification has contributed to the spread of industrialisation to smaller towns and villages in the state. Along with electrification, Tamil Nadu is known for its excellent transport infrastructure, especially minor roads that connect rural parts of the state to nearby towns and cities. A combination of public and private transport has also facilitated rural to urban connectivity and therefore connect small producers to markets better.

Industrial Promotion

Apart from investments in education and transport and energy infrastructure, active policy efforts were made to promote specific sectors and also industrialisation in specific regions. Policies to promote specific sectors like automobile, auto components, bio technology and Information and communication Technology sectors have been formulated in the post reform period. In addition, the state has put in place several industrial promotion agencies for both large enterprises and the small and medium segments, as well as to provide supporting infrastructure.

The following are some agencies that have played a key role in industrialization in the state

SIPCOT (State Industries Promotion Corporation of Tamil Nadu) - was formed in the year 1971 to promote industrial growth in the state by setting up industrial estates.

Special Economic Zones (SEZs)

A policy was introduced in April 2000 for the settling up of special Economic Zones in the country with a view to a hassle-free environment for exports.

Accordingly, the government has converted Export Processing Zones located at following places.

Nanguneri SEZ	–	A multi product SEZ, Thirunelveli
Ennore SEZ	–	Thermal power project, Vayalur
Coimbatore SEZ	–	IT Parks
Hosur SEZ	–	Auto Engineering, Electronics, Defence and Aerospace
Perambalur SEZ	–	Multi product SEZ
Autocity SEZ	–	Automobile/Auto Components, Tiruvallur
India-Singapore SEZ	–	IT & ITES, Electronic Hardware, Logistics and Warehousing – Thiruvallur District
Bio-Pharmaceuticals SEZ	–	Clinical Research Organisation, Poison Control Centre, Centre for Regenerative Medicine, Medicine Research

Madras Export Processing Zone (MEPZ)

MEPZ is a Special Economic Zone in Chennai. It is one of the seven export processing zones in the country set up the central government. It was established in 1984 to promote foreign direct investment, enhance foreign exchange earnings and create greater employment opportunities in the region. The MEPZ headquarters is located on GST Road in Tambaram, Chennai.

27_Economics_Unit_5_EM.indd 334 23-03-2020 20:01:37